

INTELLECTUAL PROPERTY LAW

Paper-V | 4th Semester | LL.B. (3-YDC)

Osmania University | Faculty of Law

UNIT IV

Law of Trademarks & Industrial Designs

Comprehensive Exam Preparation Notes

Target: 75+ Marks | Parts A, B & C

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UNIT IV — OVERVIEW & EXAM INTELLIGENCE

What IS in This Unit

- Rationale for trademark protection — Trade Marks Act, 1999
- Definitions: trademark, trade description, conventional vs non-conventional marks
- Trademarks and Internet Domain Names
- Registration of trademarks — procedure, absolute & relative grounds for refusal
- Statutory rights of trademark owners
- Passing Off (common law) vs Infringement (statutory) — distinction + remedies
- Industrial Designs — concept, definition, Designs Act 2000
- Registration of designs — procedure, rights of design holder
- Copyright in designs, design piracy, remedies

What is NOT in This Unit

- GI Act 1999 in detail → Unit I
- Patents Act 1970 → Unit V
- Copyright Act 1957 → Unit III
- International treaties in detail → Unit II

★ Predicted Questions (Based on Past Papers)

Topic	Part	Rating
Non-Conventional Trademarks	A	★★★★★★
Rights of Trademark Owners / Registration	A	★★★★★★
Domain Names and Trademarks	A	★★★★★
Design Piracy	A	★★★★★★
Characteristics of registrable trademark (Essay)	B	★★★★★★
Passing Off vs Infringement + Remedies (Essay)	B	★★★★★★
Doctrine of Deceptive Similarity (Essay)	B	★★★★★★
Bottle cap/nozzle design protection (Problem)	C	★★★★★★
Unregistered TM — passing off action (Problem)	C	★★★★★★

Critical Numbers — Unit IV

- Trade Marks Act — 1999 (India) | Replaced Trade and Merchandise Marks Act 1958
- Designs Act — 2000 (India) | Replaced Designs Act 1911
- TM registration term — 10 years, renewable indefinitely
- Design registration term — 10 years + 5 years renewal (total 15 years max)
- TRIPS minimum TM term — 7 years (renewable)
- Section 2(zb) TM Act — Definition of 'trade mark'
- Section 9 TM Act — Absolute grounds for refusal

- Section 11 TM Act — Relative grounds for refusal
- Section 29 TM Act — Infringement of trade mark
- Section 27 TM Act — No action for infringement of unregistered TM (use passing off)
- Section 134 TM Act — Suit for infringement / passing off
- Section 2(d) Designs Act — Definition of 'design'
- Section 4 Designs Act — Prohibition of registration of certain designs
- Section 22 Designs Act — Piracy of registered design
- Damages for design piracy — Rs. 25,000 per article (max Rs. 50,000 per design)

PART A — SHORT NOTES (6 Marks Each)

Answer any FIVE. ~200–250 words each. Time: 5–7 min each.

A1. Non-Conventional Trademarks ★★★★★

Definition: Non-conventional (or non-traditional) trademarks are signs that go beyond the traditional categories of words and logos to serve as distinctive identifiers of commercial origin. They include shapes, colours, sounds, smells, tastes, textures, holograms, and motion marks. The Trade Marks Act, 1999 (Section 2(zb)) defines a trademark broadly to include any 'mark capable of being represented graphically' — this opens the door to non-conventional marks.

Types of Non-Conventional Marks:

- Colour marks: Single or combination of colours used as brand identifier
- Sound marks: Musical jingles, tunes, or sounds associated with a brand
- Shape marks: Three-dimensional product shapes or packaging
- Smell/Olfactory marks: Fragrances used as identifiers (very rare; representation challenge)
- Taste marks: Flavours used to identify origin (almost never registered)
- Motion marks: Moving images / animations used consistently as brand identifiers
- Hologram marks: Changing images used as anti-counterfeit security features

 **GRAPHICAL REPRESENTATION RULE:** Non-conventional marks must be capable of GRAPHICAL REPRESENTATION — i.e., they must be describable in words/images/musical notation precisely enough to define the scope of protection. This is the main challenge for smell/taste marks.

 **Example:** Registered non-conventional marks: Cadbury's purple colour for chocolate (UK); Intel's 4-note sound chime; Coca-Cola's contour bottle shape (3D shape mark); MGM's lion roar (sound mark). India: Yahoo!'s yodel is a registered sound mark.

 *Libertel Groep v. Benelux-Merkenbureau (ECJ 2003)* — Single colour can be registered as TM only if it has acquired distinctiveness through use AND can be precisely represented graphically (Pantone number).

 *Yakult Honsha v. Yakult India (Delhi HC)* — Shape of Yakult bottle held distinctive and registrable as a 3D trademark.

 **TIP:** Exam angle: Non-conventional marks face TWO challenges: (1) Graphical representation — can it be described precisely? (2) Distinctiveness — does the public associate it with ONE source? Shapes that are functional (necessary for the product to work) CANNOT be trademarked.

A2. Domain Names and Trademarks ★★★★★☆

Definition: A domain name is the unique internet address of a website (e.g., tata.com). When domain names conflict with registered trademarks, they create IP disputes. Cybersquatting — registering another's trademark as a domain name to sell it back — is the most common problem. Such disputes are resolved through WIPO's Uniform Domain Name Dispute Resolution Policy (UDRP) or national courts.

Key Issues at the Intersection of Domain Names and Trademarks:

- Cybersquatting: Registering famous brand names as domain names in bad faith to profit
- Domain names function like trademarks — they identify commercial source online
- Trademark owner can oppose domain name registration if it is identical/confusingly similar

- Domain name ≠ automatic trademark — registration of domain does not confer TM rights
- India: Domain name disputes resolved under INDRP (India's UDRP equivalent) via NIXI

UDRP THREE-PART TEST (to cancel/transfer a domain): (1) Domain is identical/confusingly similar to complainant's trademark; (2) Registrant has no legitimate interest in the domain; (3) Domain registered and used in BAD FAITH.

📌 Example: 'yahooindia.com' registered by a cybersquatter before Yahoo! operated in India — Yahoo! filed UDRP complaint. Domain transferred to Yahoo! because all three UDRP conditions were met.

⚖️ *Yahoo Inc. v. Akash Arora (Delhi HC 1999)* — FIRST Indian domain name case. 'Yahooindia.com' held to infringe Yahoo!'s trademark. Court held domain names are trade names and can infringe trademarks.

⚖️ *Satyam Infoway v. Sifynet Solutions (SC 2004)* — SC held domain names are not merely addresses; they carry goodwill and can be protected as trademarks. Passing off action available for unregistered domain names.

💡 **TIP:** Two key cases: *Yahoo v. Akash Arora (1999)* = first Indian case, TM infringement via domain. *Satyam v. Sifynet (SC 2004)* = SC recognised domain names carry goodwill, passing off applies. UDRP = international mechanism; INDRP = Indian mechanism.

A3. Design Piracy ★★★★★

Definition: Design piracy is the fraudulent or obvious imitation of a registered design — i.e., applying a registered design or a design fraudulently/obviously imitated from it to any article for sale, import, or export without the design owner's licence. It is governed by Section 22, Designs Act, 2000.

What Constitutes Design Piracy (Section 22):

- Applying a registered design to any article for sale — without licence
- Applying a design FRAUDULENTLY IMITATED from a registered design to any article
- Applying a design OBVIOUSLY IMITATED from a registered design
- Importing for sale any article to which a pirated design is applied
- Publishing/exposing for sale such articles

PIRACY TEST: 'Fraudulently or obviously imitated' — The design need not be exactly copied. If the imitation is so close that it is obvious to the eye of a customer, it is piracy. The test is visual appearance to the consumer (informed user standard).

Remedies for Design Piracy (Section 22):

- Compensation: Rs. 25,000 per article of piracy (recoverable as contract debt)
- Maximum limit: Rs. 50,000 per registered design (statutory cap)
- Injunction: Court can grant injunction to restrain further piracy
- Damages: Instead of statutory compensation, owner may elect to sue for actual damages

📌 Example: Apple's iPhone rounded rectangle design registered → Samsung's Galaxy phone with similar rounded corners = alleged design piracy. Apple v. Samsung litigation (global) was the most high-profile design piracy dispute of the 21st century.

⚖️ *Whirlpool of India v. Videocon Industries (Bombay HC)* — Washing machine design registered; defendant's machine held to be obvious imitation; injunction granted and compensation awarded under Section 22.

⚖️ *Amp Inc. v. Utilux Pty Ltd (UK HL 1972)* — Functional parts of an article cannot be design-registered; design must be aesthetic not purely functional.

💡 **TIP:** Exam numbers: Rs. 25,000 per article + Rs. 50,000 cap per design. These specific numbers appear in MCQs and short answers. Piracy test = visual similarity to ordinary consumer. Design must NOT be functional — purely aesthetic.

A4. Rights of Trademark Owners & Registration ★★★★★

Definition: Upon registration of a trademark under the Trade Marks Act, 1999, the registered proprietor acquires exclusive statutory rights to use the mark in relation to the goods/services for which it is registered, and to prevent others from using identical or deceptively similar marks.

Rights of Registered Trademark Owner (Section 28):

- Exclusive right to use the trademark in relation to the registered goods/services
- Right to obtain relief for infringement (Section 29)
- Right to assign and licence the mark (Section 37)
- Right to sue for damages, injunction, account of profits on infringement
- Right to prevent importation of infringing goods (border measures)

Registration Procedure (Sections 18–26):

- Application filed before Trade Marks Registry (Section 18)
- Examination by Registrar — absolute and relative grounds checked
- Advertisement in Trade Marks Journal — 4 months for opposition
- If no opposition (or opposition fails) → Certificate of Registration issued
- Term: 10 years from date of application, renewable indefinitely (Section 25)
- Use requirement: Mark must be used within 5 years of registration or faces removal

■ **ABSOLUTE GROUNDS FOR REFUSAL (Section 9):** Mark is devoid of distinctiveness; descriptive of goods/quality/quantity; common to trade; contrary to law; obscene/scandalous; likely to deceive; shapes that are functional.

■ **RELATIVE GROUNDS FOR REFUSAL (Section 11):** Mark is identical/similar to earlier mark for same/similar goods; causes likelihood of confusion; identical to well-known mark even for dissimilar goods.

📌 Example: 'APPLE' for computers is registrable (distinctive, invented word). 'SWEET' for sugar is NOT registrable (descriptive of the goods' quality — absolute ground under Section 9).

⚖️ *Amritdhara Pharmacy v. Satya Deo Gupta (SC 1963)* — Established test of deceptive similarity: overall impression on buyer of average intelligence; phonetic, visual, and structural similarity considered.

💡 **TIP: Remember the TM FUNCTIONS:** (1) Origin function — tells who made it; (2) Quality guarantee; (3) Advertising function. Section 9 = Absolute grounds (no one can register). Section 11 = Relative grounds (blocks because of earlier similar mark).

A5. Passing Off vs Infringement of Trademark ★★★★★☆

Definition: Passing off is a common law tort that protects the goodwill of an UNREGISTERED trademark by preventing misrepresentation. Infringement is a statutory remedy under Section 29, Trade Marks Act 1999, available only for REGISTERED trademarks. Both protect against unfair competition but operate differently.

Feature	Passing Off (Common Law)	Infringement (Statutory)
Basis	Common law tort (no statute needed)	Section 29, Trade Marks Act 1999
Mark status	Unregistered mark sufficient	MUST be registered

Proof required	Goodwill + misrepresentation + damage (3 elements)	Identical/similar mark + similar goods — damage presumed
Strict liability?	No — must prove damage/likelihood	Yes — registration = prima facie proof
Territorial scope	Goodwill must exist in the territory	Registration in India sufficient
Strength	Weaker — harder to prove	Stronger — registration is conclusive

🟡 **TRINITY TEST FOR PASSING OFF** (Lord Diplock in *Warnink v. Townend*, adopted in India): (1) **GOODWILL** — plaintiff has established goodwill/reputation in the mark; (2) **MISREPRESENTATION** — defendant misrepresents that goods come from plaintiff; (3) **DAMAGE** — actual or likely damage to plaintiff's goodwill.

📌 Example: 'Villain' TM (unregistered) has market goodwill. Competitor starts using 'Villa' for same goods — this is passing off (not infringement, as 'Villain' is unregistered). Plaintiff must prove goodwill + misrepresentation + damage.

⚖️ *Reckitt & Colman v. Borden Inc. (1990 UK HL — Jif Lemon case)* — Classic trinity test for passing off. Lemon-shaped container for lemon juice — goodwill + misrepresentation + damage proved.

⚖️ *Cadbury India v. Neeraj Food Products (Delhi HC 2007)* — 'ECLAIRS' vs 'ECLAIRS TOFFEE' — passing off + infringement both considered; visual and phonetic similarity caused confusion.

💡 **TIP: Exam trap:** If TM is **UNREGISTERED** → only **PASSING OFF**. If TM is **REGISTERED** → can sue for both **infringement AND passing off**. Passing off protects goodwill; infringement protects registration. Both can run simultaneously for a registered mark.

A6. Industrial Designs — Concept & Characteristics ★★★★★☆

Definition: An industrial design refers to the ornamental or aesthetic aspects of an article — its shape, configuration, pattern, ornamentation or composition of lines/colours that, when applied to an article by an industrial process, give it a special appearance for the eye. Protected under Designs Act, 2000. Governed internationally by the Hague System (WIPO).

Definition under Designs Act (Section 2(d)):

'Design' means only the features of shape, configuration, pattern, ornament or composition of lines or colours applied to any article whether in two dimensional or three dimensional or in both forms, by any industrial process or means, whether manual, mechanical or chemical, separate or combined, which in the finished article appeal to and are judged solely by the EYE — BUT does NOT include any mode or principle of construction or anything which is in substance a mere mechanical device.

Essential Characteristics of a Registrable Design:

- NEW or ORIGINAL — not previously published or used in India (Section 4)
- Applied to an article — must be applied to a manufactured article (not abstract)
- Judged by the EYE — purely aesthetic; must appeal to the eye, not functional
- Applied by INDUSTRIAL PROCESS — not purely handmade art
- NOT a mode of construction — no functional/mechanical elements
- NOT scandalous or contrary to public order/morality (Section 4)

🟡 **KEY EXCLUSIONS FROM DESIGN PROTECTION:** (1) Purely functional features, (2) Mode/principle of construction, (3) Artistic works already protected by copyright, (4) Mere mechanical devices, (5) Flags/emblems of India.

📌 Example: A uniquely shaped perfume bottle — protectable as design (aesthetic shape applied to article). The perfume formula — NOT a design (it is a product/process, protectable by patent if novel). The brand name on the bottle — trademark.

⚖️ *Amp Inc. v. Utilux (1972 UK HL) — Electrical terminal design: purely functional shapes cannot be design-registered; aesthetic purpose must dominate. Functional designs go to patent law.*

💡 *TIP: Design vs Patent vs Copyright: Design = aesthetic appearance of article (eye-appeal). Patent = functional invention (how it works). Copyright = artistic work (literary/artistic expression). All three can co-exist in one product — the bottle's shape (design), formula (patent), brand name (TM), and label art (copyright).*

PART B — LONG ESSAYS (15 Marks Each)

Answer any TWO. ~600–750 words. Time: 20–25 min each.

B1. Essential Characteristics of a Registrable Trademark & Remedies for Infringement

Introduction

A trademark is the cornerstone of commercial identity in the marketplace. It communicates origin, quality, and reputation to consumers in a single sign. The Trade Marks Act, 1999 — enacted to comply with India's TRIPS obligations and replace the Trade and Merchandise Marks Act, 1958 — provides a comprehensive framework for the registration, protection, and enforcement of trademarks. Not every sign qualifies for registration; the Act prescribes precise criteria of registrability and equally precise remedies for those whose marks are infringed.

1. Definition of Trademark (Section 2(zb))

A 'trade mark' means a mark capable of being represented graphically and capable of distinguishing the goods or services of one person from those of others, and may include shape of goods, their packaging and combination of colours.

 **THREE REQUIREMENTS FOR A MARK TO BE A TRADEMARK: (1) Capable of graphical representation; (2) Capable of DISTINGUISHING goods/services of one from another; (3) Used or proposed to be used in commerce.**

2. Types of Marks Eligible (Section 2(m)):

- Words — invented words, personal names, geographic names (if distinctive)
- Letters and numerals — single letters, numbers, combinations
- Devices — logos, figurative elements, designs
- Shapes — 3D shapes of goods or packaging
- Colours — single colour or combination (if distinctive)
- Sounds — musical jingles, sound signatures
- Combinations of any of the above

3. Absolute Grounds for Refusal (Section 9) — Marks that CANNOT be Registered

Ground	Explanation	Example
Devoid of distinctiveness	Mark cannot distinguish one trader's goods from another's	Generic word 'Computer' for computers
Descriptive marks	Directly describes quality, quantity, nature, value of goods	'SWEET' for sugar, 'COLD' for ice cream
Common to trade	Mark used by the entire trade; no one can monopolise	'PREMIUM' for luxury goods
Deceptive	Likely to deceive public as to nature/quality of goods	'PURE SILK' for synthetic fabric
Contrary to law	Prohibited under any law in force	Marks using national emblem (Section 9(2)(b))
Obscene/Scandalous	Hurts public sentiments or is obscene	Section 9(2)(c) — absolute bar

Functional shapes	Shape necessary for technical result or gives substantial value	Lego brick shape rejected (ECJ)
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■ **SECONDARY MEANING DOCTRINE (PROVISO to Section 9(2)):** A mark that is ordinarily descriptive CAN be registered if it has **ACQUIRED DISTINCTIVENESS** through long and extensive use — it has gained 'secondary meaning' in the market. Example: 'APPLE' for computers was originally descriptive of the company's informal culture — but through use, it has become distinctive.

4. Relative Grounds for Refusal (Section 11)

- Mark identical/similar to an earlier registered mark for identical/similar goods — likelihood of confusion
- Mark identical/similar to an earlier well-known mark — even for dissimilar goods
- Mark whose use would take unfair advantage of / be detrimental to the distinctive character of a well-known mark (anti-dilution)

5. The Distinctiveness Spectrum

Type	Distinctiveness	Registrability
Invented/Coined words ('KODAK', 'XEROX')	Highest — no prior meaning	Immediately registrable
Arbitrary words ('APPLE' for computers)	High — no connection to goods	Immediately registrable
Suggestive words ('JAGUAR' for cars)	Medium — suggests quality indirectly	Registrable
Descriptive words ('COLD' for ice cream)	Low — directly describes	Not registrable unless secondary meaning
Generic words ('COMPUTER' for computers)	Zero — name of the product itself	Never registrable

6. Infringement of Trademark (Section 29)

Infringement occurs when a person, not being the registered proprietor or permitted user, in the course of trade:

- Uses a mark identical to the registered TM for identical goods — infringement presumed (double identity rule)
- Uses a mark identical/similar to registered TM for identical/similar goods — if likelihood of confusion exists
- Uses a mark identical/similar to a well-known TM for dissimilar goods — takes unfair advantage (dilution)
- Uses the registered TM as part of a company name or domain name — Section 29(5)

7. Doctrine of Deceptive Similarity

Marks need not be identical to infringe — 'deceptive similarity' (likelihood of confusion in the mind of an average consumer of average intelligence) is sufficient.

⚖️ *Amritdhara Pharmacy v. Satya Deo Gupta (SC 1963)* — Test: overall impression on buyer of average intelligence with imperfect recollection; phonetic, visual, and structural similarity all considered. 'AMRITDHARA' vs 'LAKSHMANDHARA' — held deceptively similar.

⚖️ *Cadila Healthcare v. Cadila Pharmaceuticals (SC 2001)* — Stricter test for pharmaceutical marks —

even small similarity dangerous; public health risk if patients confuse medicines.

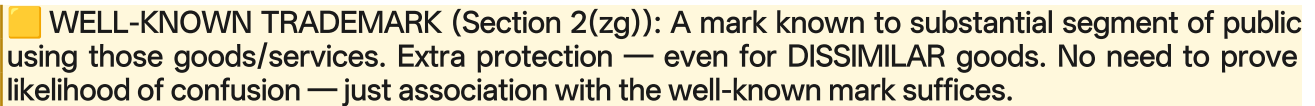
8. Remedies for Trademark Infringement

Civil Remedies (Section 134–135):

- Injunction — most important; restrain continued use of infringing mark
- Damages — compensation for actual loss
- Account of profits — infringer must account for profits made using plaintiff's mark
- Delivery up — surrendering infringing labels, goods for destruction
- Anton Piller Order — ex parte search and seizure (civil)
- Mareva Injunction — freezing of assets

Criminal Remedies (Section 103):

- Imprisonment: 6 months minimum — 3 years maximum
- Fine: Rs. 50,000 minimum — Rs. 2,00,000 maximum
- Second offence: Enhanced penalties; minimum 1 year imprisonment

 **WELL-KNOWN TRADEMARK (Section 2(zg)):** A mark known to substantial segment of public using those goods/services. Extra protection — even for DISSIMILAR goods. No need to prove likelihood of confusion — just association with the well-known mark suffices.

Conclusion

The Trade Marks Act, 1999 strikes a careful balance between protecting trademark owners (through robust infringement remedies) and keeping the marketplace competitive (through absolute grounds preventing monopolisation of descriptive/generic terms). India's trademark law, rooted in TRIPS Article 15-21, has been progressively modernised — from the introduction of non-conventional marks to the protection of well-known marks and domain names. Courts have built a sophisticated jurisprudence of deceptive similarity that protects consumers while rewarding genuine brand investment.

B2. Passing Off vs Trademark Infringement — Doctrine of Deceptive Similarity & Remedies

Introduction

In the law of trademarks, protection is available through two distinct but complementary routes: (1) Statutory infringement action under the Trade Marks Act, 1999, available to owners of REGISTERED marks; and (2) Passing off, a common law action available to owners of UNREGISTERED marks with established goodwill. The doctrine of deceptive similarity is central to both — it is the legal test determining whether the defendant's mark is so similar to the plaintiff's as to cause consumer confusion.

1. Passing Off — Common Law Protection

Passing off is a tort that protects the business goodwill associated with an unregistered trademark, trade name, get-up, or domain name. It prevents a trader from misrepresenting their goods as those of another trader.

Essential Elements — The Classical Trinity:

- **GOODWILL:** The plaintiff must have established goodwill/reputation in their mark in the relevant market. Goodwill = the attractive force that brings customers to a business (Lord Macnaghten, *IRC v. Muller & Co's Margarine*, 1901).
- **MISREPRESENTATION:** The defendant must make a false representation — directly or by conduct — that their goods come from or are associated with the plaintiff. Need not be intentional.

- **DAMAGE:** The plaintiff must suffer actual damage or the likelihood of damage to their goodwill — loss of sales, damage to reputation, dilution of distinctiveness.

TRINITY TEST: Goodwill + Misrepresentation + Damage. ALL THREE must be proved for passing off. Unlike infringement, there is NO strict liability — plaintiff must prove each element.

☞ *Reckitt & Colman v. Borden (1990 UK HL — Jif Lemon)* — Trinity test for passing off confirmed. Lemon-shaped squeeze bottle for lemon juice — 30 years of use = established goodwill; defendant's similar bottle = misrepresentation; confusion = damage.

☞ *Warnink v. Townend (1979 UK HL — Advocaat case)* — Extended passing off to protect product reputation (Advocaat spirit) even without specific TM — geographic/product identity protected.

2. Trademark Infringement — Statutory Protection (Section 29)

Infringement of a registered trademark is a statutory wrong under Section 29, Trade Marks Act 1999.

Key differences from passing off:

- Registration gives PRIMA FACIE evidence of ownership and exclusive rights (Section 31)
- Damage is PRESUMED — plaintiff need not prove actual damage
- Strict liability — intention to infringe is irrelevant
- Territorial protection linked to registration in India
- Well-known marks protected even for dissimilar goods (anti-dilution, Section 29(4))

3. The Doctrine of Deceptive Similarity

Both passing off and infringement require establishing that the defendant's mark is 'deceptively similar' to the plaintiff's. The doctrine determines what constitutes impermissible similarity.

The Test for Deceptive Similarity:

- **OVERALL IMPRESSION:** The marks must be compared as a whole, not element by element
- **AVERAGE CONSUMER:** The standard is an ordinary consumer of average intelligence with imperfect recollection
- **VISUAL similarity:** How the marks look side by side
- **PHONETIC similarity:** How the marks sound when spoken
- **STRUCTURAL similarity:** The composition and arrangement of elements
- **Nature of goods:** Greater care required for pharmaceutical products (health risk)

RULE: Marks need not be identical. If the net impression on a consumer of average intelligence and imperfect recollection is that the defendant's mark could be the plaintiff's — it is deceptively similar.

☞ *Amritdhara Pharmacy v. Satya Deo Gupta (SC 1963)* — THE LEADING CASE. 'AMRITDHARA' vs 'LAKSHMANDHARA' for medicinal preparations. SC held: overall impression on buyer of average intelligence with imperfect memory; phonetic similarity ('DHARA' suffix) created deceptive similarity.

☞ *Cadila Healthcare v. Cadila Pharmaceuticals (SC 2001)* — 'FALCIGO' vs 'FALCITAB' — both anti-malarial drugs. SC applied stricter standard for pharmaceutical marks: any likelihood of confusion in drugs is dangerous; even educated consumers may confuse if names sound similar. Deceptive similarity found.

☞ *Parle Products v. JP & Co. (SC 1972)* — 'GLUCO' biscuits vs 'GLUCOSE' biscuits — overall impression: similar packaging, same goods = deceptive similarity. 'A consumer of average intelligence with imperfect recollection' test applied.

4. Comparative Table: Passing Off vs Infringement

Aspect	Passing Off	Infringement
Legal basis	Common law tort	Section 29, TM Act 1999

Mark	Unregistered sufficient	Must be registered
Proof of damage	Essential — must be proved	Presumed — not essential
Intention	Irrelevant	Irrelevant (strict liability)
Key elements	Goodwill + misrepresentation + damage	Identical/similar mark + similar goods
Limitation period	3 years (Limitation Act)	3 years (Section 134)
Both simultaneously?	Yes — registered mark owner can sue for both	Yes — passing off supplements infringement

5. Remedies — Common to Both Actions

- Injunction (permanent and/or interim) — most effective remedy
- Damages or account of profits (plaintiff's choice)
- Delivery up and destruction of infringing goods
- Anton Piller Order — ex parte civil search and seizure
- Criminal prosecution under Section 103/104 TM Act

Conclusion

Passing off and trademark infringement together form a complete protective shield for commercial identity in India. While infringement rewards investment in trademark registration with strict liability and presumed damage, passing off ensures that unregistered marks with established goodwill are not left without remedy. The doctrine of deceptive similarity — applied through the lens of the average consumer — is the common thread that runs through both actions, ensuring that commercial reputation, once built, cannot be misappropriated through similar-sounding or similar-looking imitations.

🔑 PART C — PROBLEM QUESTIONS / IRAC METHOD (10 Marks Each)

Answer any TWO. Strict IRAC format. Time: 15 min each.

C1. Problem: Perfume Bottle Cap Nozzle Shape — Design Protection?

(Based on July/August 2025 Q15: 'A' creates an attractive new bottle cap nozzle shape for his perfume brand and wants to stop others from copying it. He is not sure whether it can be protected under design law. Advise 'A' on essential requirements under Designs Act, 2000.)

I — ISSUE

Whether 'A's new bottle cap nozzle shape for his perfume brand qualifies for protection as a 'design' under the Designs Act, 2000, and what are the essential requirements 'A' must fulfil to obtain such protection.

R — RULE

The following provisions of the Designs Act, 2000 govern:

1. Section 2(d) — Definition of 'Design': Features of shape, configuration, pattern, ornament or composition of lines/colours applied to an article by industrial process, which in the finished article APPEAL TO AND ARE JUDGED SOLELY BY THE EYE. Excludes: mode of construction, mechanical device, trademark, property mark, artistic work.
2. Section 4 — Prohibition of registration: A design shall NOT be registered if: (a) not new or original; (b) previously published in India; (c) not significantly distinguishable from known designs; (d) contrary to public order or morality; (e) contains scandalous matter.
3. Section 5 — Registration: Application filed before Controller of Designs; design must be classified under appropriate Locarno Classification; granted for 10 years + 5 years renewal.
4. Section 22 — Piracy of registered design: Once registered, 'A' can sue for Rs. 25,000 per article of piracy (max Rs. 50,000 per design) + injunction.

🟡 **TWO-PART TEST FOR DESIGN REGISTRABILITY:** (1) Is it a 'design' (aesthetic, eye-judged, applied to article by industrial process)? (2) Is it NEW and ORIGINAL (not previously published/used)?

CRITICAL LIMITATION: If the nozzle shape is PURELY FUNCTIONAL (its shape is dictated solely by its technical function of spraying perfume), it CANNOT be registered as a design. Only aesthetic features qualify.

A — APPLICATION

Applying the rules to 'A's nozzle shape:

- The bottle cap nozzle shape is described as 'attractive' — suggesting it has aesthetic appeal to the eye, satisfying the 'judged solely by the eye' requirement
- It is applied to an article (the perfume bottle cap) by an industrial process (manufacturing) — satisfies the 'applied to article by industrial process' requirement

- 'A' 'creates' it — implying it is new; must verify: has this shape been previously published or used in India? If not → satisfies novelty requirement of Section 4
- As a NOZZLE — there is a functional element (directing/spraying perfume). KEY QUESTION: Is the shape purely dictated by its function, or does it have ADDITIONAL aesthetic features beyond what function requires?
- If the nozzle's shape includes decorative curves, ornamental ridges, or patterns that go beyond mere functional necessity → the aesthetic elements ARE protectable as design
- The purely functional spraying mechanism itself → NOT protectable as design (may need patent protection)

⚖️ *Amp Inc. v. Utilux (1972 UK HL)* — Purely functional terminal shape cannot be design-registered. Only features that appeal to the eye as aesthetics qualify.

⚖️ *Crocs Inc. v. Bata India & Others (Delhi HC 2019)* — Croc's distinctive shoe design (perforations pattern + strap shape) held registrable as it had aesthetic appeal beyond functional shoe design.

C — CONCLUSION

ADVICE TO 'A':

- YES — 'A' CAN register the bottle cap nozzle shape as a design under the Designs Act, 2000, PROVIDED:
 - The shape has aesthetic features that appeal to the eye (not purely functional)
 - The design is NEW and ORIGINAL — not previously published or used in India
 - The aesthetic elements are distinguishable from existing known designs

PROCEDURE: Apply to the Controller of Designs; classify under Locarno Classification; pay fees; if approved → Certificate of Registration for 10 years (extendable by 5 more years).

ADDITIONAL PROTECTION: 'A' should also consider registering the nozzle shape as a 3D TRADEMARK under Trade Marks Act 1999 if it identifies his brand, and the spraying mechanism may be separately patentable under Patents Act 1970 if novel and non-obvious.

FINAL ANSWER: Nozzle shape = registrable as design if aesthetic + new. Purely functional spraying mechanism ≠ design (may need patent). Also consider 3D trademark registration for maximum protection.

C2. Problem: Unregistered Trademark 'Villain' vs 'Villa' — Can Ramu Sue?

(Based on Nov 2022 Q15: Ramu trades in banyans under 'VILLAIN' trademark (unregistered). Somu starts trading in same goods with 'VILLA'. Ramu's mark is not registered. Ramu files suit for infringement. Decide.)

I — ISSUE

(1) Whether Ramu can maintain a suit for INFRINGEMENT of trademark 'VILLAIN' which is unregistered; and (2) Whether Ramu has any alternative remedy against Somu's use of 'VILLA' for the same goods.

R — RULE

The following legal provisions govern:

1. Section 27, Trade Marks Act 1999: 'No person shall be entitled to institute any proceeding to prevent, or to recover damages for, the infringement of an UNREGISTERED trade mark.' — infringement action requires registration.
2. Section 27(2), Trade Marks Act 1999: The Act does NOT affect the law relating to PASSING OFF. Passing off is preserved as a common law remedy regardless of registration.
3. Common Law Tort of Passing Off — Classical Trinity (Reckitt v. Borden; adopted in India):
(a) Goodwill established in the mark; (b) Misrepresentation by defendant; (c) Damage to plaintiff's goodwill.
4. Section 134, TM Act: Suits for infringement filed in District Court. Passing off suits also filed in District Court.
5. Doctrine of Deceptive Similarity: 'VILLAIN' vs 'VILLA' — phonetically similar (both start with 'VILL-'), structurally similar, same goods (baniyans) — likelihood of confusion.

 **CRITICAL RULE:** Section 27 TM Act — INFRINGEMENT ACTION requires REGISTERED mark. Ramu's TM is unregistered → he CANNOT sue for infringement. BUT → Section 27(2) preserves PASSING OFF action for unregistered marks.

A — APPLICATION

Applying the rules to the facts:

- 'VILLAIN' is UNREGISTERED — Section 27(1) bars infringement action. Ramu's suit for infringement CANNOT SUCCEED on this ground
- However, the facts state 'VILLAIN' mark has 'caught the market reputation' — this establishes GOODWILL (first element of passing off)
- Somu uses 'VILLA' for the SAME goods (baniyans) as Ramu → this creates MISREPRESENTATION — consumers could believe Somu's products come from Ramu (second element)
- 'VILLAIN' vs 'VILLA' — phonetic similarity (VILL-AIN vs VILL-A); structural similarity; same class of goods → deceptive similarity → likely DAMAGE to Ramu's goodwill and sales (third element)
- All three elements of passing off are SATISFIED

Wander Ltd. v. Antox India (SC 1990) — Unregistered mark with established goodwill protected through passing off action; registration not required for passing off.

Cadbury India v. Neeraj Food Products (Delhi HC 2007) — Phonetic/visual similarity between marks for same goods = deceptive similarity; passing off established.

WHAT RAMU SHOULD DO: Immediately apply to REGISTER 'VILLAIN' under Trade Marks Act 1999 to gain statutory protection for future infringement suits while simultaneously filing passing off action.

C — CONCLUSION

Ramu's suit for INFRINGEMENT will FAIL — Section 27(1) bars infringement action for unregistered trademarks.

However, Ramu CAN and SHOULD file a suit for PASSING OFF, as all three elements are

established:

- GOODWILL — 'VILLAIN' has market reputation
- MISREPRESENTATION — 'VILLA' on same goods creates confusion as to origin
- DAMAGE — Loss of sales and dilution of goodwill

Remedies available in passing off: Injunction to stop Somu from using 'VILLA'; Damages for loss; Account of profits made by Somu.

■ **FINAL ANSWER: Infringement suit FAILS (mark unregistered — Section 27). PASSING OFF suit SUCCEEDS (goodwill + misrepresentation + damage proved). Ramu should ALSO immediately register 'VILLAIN' to prevent future infringement.**

C3. Problem: Obscene Geographical Indication — Can it be Registered?

(Based on Nov 2022 Q16: 'A' applied for registration of a geographical indication of a matter which is obscene. Can 'A' register this GI? [Also relevant to Unit IV context of absolute bars in IP registration])

I — ISSUE

Whether 'A' can obtain registration of a Geographical Indication for a matter that is obscene in nature under the Geographical Indications of Goods (Registration and Protection) Act, 1999, and whether any similar bars exist under the Trade Marks Act, 1999 for trademarks.

R — RULE

1. GI Act 1999, Section 9(c): A geographical indication SHALL NOT be registered if it contains or comprises any SCANDALOUS or OBSCENE matter — this is an ABSOLUTE ground for refusal.
2. GI Act 1999, Section 9(d): A GI shall not be registered if it contains matter likely to HURT the religious susceptibilities of any class or section of citizens.
3. Trade Marks Act 1999, Section 9(2)(c): Similarly, a trademark shall not be registered if it contains SCANDALOUS or OBSCENE matter — same absolute bar.
4. Both provisions are ABSOLUTE grounds — the Registrar has NO discretion to allow registration of obscene GI or trademark regardless of any other considerations.

■ **ABSOLUTE BAR (BOTH TM ACT & GI ACT): Obscene or scandalous matter = CANNOT be registered, period. No exceptions, no discretion, no appeal can succeed on the merits if the matter is obscene.**

A — APPLICATION

Applying the rules:

- 'A' has applied to register a GI for matter that is obscene — this squarely falls under Section 9(c) of the GI Act, 1999
- Section 9(c) is an absolute prohibition — the Registrar of Geographical Indications is duty-bound to REFUSE registration
- No discretion exists for the Registrar to overlook this ground

- The same matter would also fail registration as a trademark under Section 9(2)(c) TM Act 1999
- The obscene matter may additionally be 'contrary to any law in force' under Section 9(b) — invoking a second ground for refusal (e.g., IPC Section 292 on obscene publications)

C — CONCLUSION

NO — 'A' CANNOT register the Geographical Indication.

Registration must be REFUSED by the Registrar under Section 9(c), GI Act 1999. This is an absolute ground admitting no exception or discretion. Any appeal against refusal cannot succeed on merits if the matter is genuinely obscene.

 **FINAL ANSWER: Section 9(c) GI Act 1999 = absolute bar on obscene GI. Same bar under Section 9(2)(c) TM Act. Registrar MUST refuse. No exception. No discretion.**

QUICK REVISION SHEET — UNIT IV

Key Sections — Trade Marks Act, 1999

Section	Content
Section 2(m)	Definition of 'mark' — words, devices, numerals, colours, shapes, sounds
Section 2(zb)	Definition of 'trade mark' — graphically representable + capable of distinguishing
Section 2(zg)	Definition of 'well-known trade mark'
Section 9	Absolute grounds for refusal — devoid of distinctiveness, descriptive, deceptive, obscene
Section 11	Relative grounds for refusal — conflict with earlier mark
Section 18	Application for registration of trademark
Section 25	Duration: 10 years from application date; renewable indefinitely
Section 27	No infringement action for UNREGISTERED trademark (but passing off preserved)
Section 28	Rights of registered proprietor — exclusive use + sue for infringement
Section 29	Infringement of registered trademark
Section 31	Registration = prima facie evidence of validity
Section 37	Assignment and licensing of trademarks
Section 103	Criminal penalty: 6 months to 3 years + Rs.50,000 to Rs.2,00,000
Section 134	Jurisdiction for infringement/passing off suits — District Court

Key Sections — Designs Act, 2000

Section	Content
Section 2(d)	Definition of 'design' — aesthetic, eye-judged, applied by industrial process
Section 4	Prohibition of registration — not new/original, contrary to public order
Section 5	Application for registration of design
Section 11	Registration: 10 years from registration date
Section 12	Extension: 5 more years renewable (total 15 years max)
Section 19	Cancellation of registration
Section 22	Piracy of registered design — Rs.25,000 per article + injunction
Section 22(2)	Cap on statutory damages: Rs.50,000 per registered design

Top Cases — One-Liner

- Amritdhara v. Satya Deo (SC 1963): Deceptive similarity test — overall impression, average

consumer, imperfect recollection

- Cadila Healthcare v. Cadila Pharma (SC 2001): Stricter TM similarity test for pharmaceuticals — health risk justifies lower confusion threshold
- Reckitt v. Borden (1990 UK HL — Jif Lemon): Trinity test for passing off — goodwill + misrepresentation + damage
- Yahoo v. Akash Arora (Delhi HC 1999): First Indian domain name TM case — domain names can infringe trademarks
- Satyam v. Sifynet (SC 2004): Domain names carry goodwill; passing off applies to domain names
- Parle v. JP & Co (SC 1972): 'GLUCO' vs 'GLUCOSE' biscuits — overall impression test; packaging similarity = deceptive
- Amp Inc. v. Utilux (1972 UK HL): Purely functional design ≠ registrable; must have aesthetic (eye) appeal
- Crocs v. Bata India (Delhi HC 2019): Distinctive shoe design pattern = registrable design (aesthetic beyond function)

Memory Mnemonics

TRADEMARK FUNCTIONS: 'OQA' = Origin (tells who made it), Quality (guarantees standard), Advertising (builds goodwill)

ABSOLUTE GROUNDS (Section 9): 'DDCCDOS' = Devoid of distinctiveness, Descriptive, Common to trade, Contrary to law, Deceptive, Obscene/Scandalous, Shapes (functional)

PASSING OFF TRINITY: 'GMD' = Goodwill + Misrepresentation + Damage. ALL THREE needed.

DECEPTIVE SIMILARITY TEST: 'OVPS-N' = Overall impression, Visual similarity, Phonetic similarity, Structural similarity, Nature of goods

DESIGN ESSENTIALS: 'NAEI' = New/original, Applied to Article, Eye-appeal (aesthetic), Industrial process

DISTINCTIVENESS SPECTRUM (High to Low): 'IASGD' = Invented > Arbitrary > Suggestive > Generic > Descriptive

DESIGN PIRACY DAMAGES: Rs.25,000 per article + Rs.50,000 cap. Remember '25+50' rule.

Exam TRAP Questions

- ▶ TRAP: 'Can an unregistered TM owner sue for infringement?' → NO. Section 27 bars infringement for unregistered marks. Only PASSING OFF available.
- ▶ TRAP: 'Can a registered TM owner also sue for passing off?' → YES. Registered owner can sue for BOTH infringement AND passing off simultaneously.
- ▶ TRAP: 'Design registration lasts 10 years, non-renewable' → WRONG. 10 years + 5 more years renewal = 15 years TOTAL maximum.
- ▶ TRAP: 'Any distinctive mark can be a trademark' → Only if it can be GRAPHICALLY REPRESENTED. Smell marks rarely qualify because they cannot be precisely described graphically.

- ▶ TRAP: 'Functional shape of a product can be trademarked if it is distinctive' → NO. Section 9(3) TM Act bars registration of shapes that result from the nature of goods, are necessary for technical result, or give substantial value.
- ▶ TRAP: 'Design piracy damages = Rs.50,000 per article' → NO. Rs.25,000 PER ARTICLE; Rs.50,000 is the TOTAL CAP per registered design.
- ▶ TRAP: 'Passing off requires proof of registration' → NO. Passing off is a COMMON LAW remedy — no registration needed, only goodwill.
- ▶ TRAP: 'Domain name registration = trademark rights' → NO. Registering a domain does NOT confer trademark rights. The owner of the trademark can challenge the domain under UDRP/INDRP.

Star Ratings Summary — Unit IV

Topic	Part	Rating
Non-Conventional Trademarks	A	★★★★★★
Design Piracy	A	★★★★★★
Rights of TM Owners & Registration	A	★★★★★★
Registrable TM + Infringement Remedies (Essay)	B	★★★★★★
Passing Off vs Infringement + Deceptive Similarity (Essay)	B	★★★★★★
Bottle cap/nozzle design (Problem)	C	★★★★★★
Unregistered TM — Villain vs Villa (Problem)	C	★★★★★★
Domain Names and Trademarks	A	★★★★★
Passing Off vs Infringement (short note)	A	★★★★★
Industrial Designs — Concept	A	★★★★★
Obscene GI/TM (Problem)	C	★★★★

— END OF UNIT IV —

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